

Binance Algorithmic Trading Bot

Complete User Guide — strategies, decisions, risk, and going live

Read this first. Trading cryptocurrency involves substantial risk of loss. This bot can lose money on its own, quickly, and without asking again. Every performance figure it shows you is either historical or simulated and **does not predict future results**. Nothing in this guide is financial advice. The system starts on the testnet (fake money) on purpose — stay there until you have read the "Going live" chapter and completed its checklist.

Generated 9 August 2026 · System version 1.0 · Environment at time of writing: TESTNET

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1 · Ten terms you need before anything else

Term	Plain-language meaning
Candle (kline)	A summary of price over one time slot (e.g. 15 minutes): where it opened, the highest and lowest it reached, and where it closed. Strategies make decisions when a candle <i>closes</i> .
Pair / symbol	What is traded against what. In <code>BTCUSDT</code> , BTC is the <i>base</i> asset you buy or sell; USDT is the <i>quote</i> asset you pay with. This bot always quotes in USDT.
Position	Coins the bot bought and still holds, with the price it paid ("entry"). Closing a position = selling those coins.
PnL	Profit and Loss. <i>Unrealized</i> PnL is the paper gain/loss on open positions; <i>realized</i> PnL is locked in when a position closes. Always shown net of fees.
SL — stop-loss	A pre-placed order that sells automatically if price falls to a set level, capping the loss on that position.
TP — take-profit	The opposite: sells automatically when price rises to a target, locking in gains.
OCO	"One-Cancels-the-Other": the SL and TP placed together on Binance as a pair — whichever triggers first cancels its twin. Because the OCO lives <i>on the exchange</i> , your position stays protected even if the bot or your computer dies.
Equity	Total account value in USDT: your USDT balance plus the current value of every coin the bot holds. All risk limits are percentages of equity.
Notional	The USDT value of an order (quantity × price). "2% position size" means each new position's notional is 2% of equity.
Testnet	Binance's practice environment with fake balances at <code>testnet.binance.vision</code> . Same API, zero real money. The bot's default and where all of this should be proven first.

2 · What the system is made of

Three pieces run on your machine and talk only to each other and Binance:

Piece	What it does	Where
Trading engine (Python)	Connects to Binance (REST + live WebSocket streams), runs strategies on each closed candle, enforces every risk limit, places and tracks orders, records everything.	<code>http://127.0.0.1:8000</code>
Dashboard (web app)	Your window and remote control: charts, positions, trade history, strategy/risk/settings editors, emergency stop. Login-protected (single username/password).	<code>http://localhost:5173</code>
Database (SQLite)	One local file holding orders, trades, positions, equity history, signal log, configuration, login sessions. Survives restarts; the bot reconciles it with Binance on every start.	<code>backend/data/bot.db</code>

Design rules that everything else in this guide builds on:

- **Strategies suggest, the risk engine decides.** No strategy can place an order directly; every entry passes the full battery of limit checks first (chapter 7).
- **Protection lives on Binance, not in the bot.** Entries get an exchange-side OCO immediately, so a crash, reboot or network cut never leaves a position unguarded. If OCO placement fails, the engine watches the position itself and keeps retrying (marked "△ engine" in the dashboard).
- **Everything is explained.** Every decision — including "do nothing" — carries a written reason you can read on the Strategies page ("Show recent evaluations") and Trades page.
- **Testnet is the default**, and switching to real money deliberately cannot be done from the dashboard (chapter 10).

3 · How a buy or sell decision is actually made

- 1 **A candle closes.** Binance streams live candles for every pair the strategies watch. When one closes (say the 15-minute BTCUSDT candle), evaluation begins for every enabled strategy that uses that pair and timeframe.
- 2 **The strategy computes its indicators** over recent history (moving averages, RSI, Bollinger Bands... — chapter 4 and the glossary) and applies its fixed rules to emit exactly one of: **BUY**, **SELL**, or **HOLD** — always with a written rationale, e.g. *"close below lower band with RSI 27 < 30 — oversold reversion entry"*.
- 3 **HOLD ends here** (logged, visible in evaluations). **SELL** with an open position closes it at market and records the trade. **BUY** continues down the pipeline.
- 4 **The adaptive layer weighs recent results** (chapter 8): a strategy on a losing streak gets its size cut in half or quarters; a strategy on probation is blocked entirely, with the reason logged.
- 5 **The risk engine runs every check** (chapter 7): bot actually RUNNING · daily-loss and drawdown breakers clear · position count below cap · per-asset and total exposure caps respected · size computed (% of equity × adaptive multiplier) · rounded DOWN to Binance's lot rules · above the ~\$5 exchange minimum. Any failure = rejection, with the reason stored.
- 6 **The order is placed** with a bot-tagged ID and recorded *before* it is sent (so a crash can never lose track of it). Market entries fill immediately; grid entries rest as limit orders.
- 7 **Protection goes up.** The OCO (TP above, SL below) is placed on Binance within the same second. If the trailing stop is enabled, the SL ratchets upward as price makes new highs — never downward.
- 8 **The position exits** by whichever comes first: TP hit · SL hit · the strategy's own SELL signal · a range/kill/emergency event. The completed round-trip is written to the Trades page with entry reason, exit reason, fees and net PnL — and its PnL feeds back into step 4 for the next decision.

WORKED EXAMPLE, WITH YOUR CURRENT TESTNET NUMBERS

Equity 10,600 USDT, position size 2%, SL 2%, TP 4%. Mean Reversion signals BUY on BTCUSDT at 64,000. Size: $2\% \times 10,600 = 212$ USDT $\rightarrow$ 0.00331 BTC (rounded down to Binance's step). Orders placed: market buy, then an OCO of TP = 66,560 (+4%) and SL = 62,720 (-2%). Best case $\approx$ +8.30 USDT, worst case $\approx$ -4.35 USDT (both before $\sim$ 0.42 USDT round-trip fees). Risking $\sim$ 0.04% of the account per trade is why single trades feel small — safety compounds, and so do mistakes at bigger sizes.

4 • The four strategies, one by one

4.1 Trend / Momentum — "ride moves that have started"

Belief: once a real trend starts, it tends to continue for a while. **Timeframe:** 1-hour candles by default.

- **Buys when** the fast EMA (20-candle average) crosses *above* the slow EMA (50) — the classic sign a trend flipped upward — AND RSI is between 50 and 70 (momentum present but not already overheated) AND the MACD histogram is positive (a second opinion confirming the turn).
- **Sells when** the fast EMA crosses back below the slow (trend over), or RSI $\geq$ 78 (blow-off top), or MACD rolls negative with the fast EMA below the slow — whichever happens first. The OCO's SL/TP guard it the whole time regardless.
- **Wins in** long directional markets. **Loses by** whipsaws in sideways chop: cross up, small loss, cross down, repeat — this is where the adaptive layer steps its size down.

4.2 Mean Reversion — "stretched prices snap back"

Belief: when price stretches unusually far below its recent average, it usually returns. **Timeframe:** 15-minute candles.

- **Buys when** a candle closes below the lower Bollinger Band (2 standard deviations under the 20-candle average — a statistically unusual dip) AND RSI $<$ 30 (oversold).
- **Sells when** price reverts to the middle band (the average — its profit thesis fulfilled) or RSI $>$ 70.
- When the market is *overbought* with no position, it logs the observation but does nothing — spot accounts cannot short (bet on falling prices).
- **Wins in** ranging, mean-reverting markets. **Loses by** "catching a falling knife": in a crash, "oversold" keeps getting more oversold; the 2% SL is what caps each such mistake.

4.3 Grid — "harvest oscillation inside a range"

Belief: price will wobble inside a band for a while; each wobble can be harvested. No indicators at all.

- Draws a ladder of price levels across a range (yours right now: 8 levels between 61,691 and 68,185 on BTCUSDT, auto-set at $\pm 5\%$ of the price when enabled). Places a limit **buy at every level below** the current price ($\sim$ 15 USDT each).
- When a buy fills, immediately offers that lot for sale **one level up**. Buy at 62,619, sell at 63,547 $\rightarrow$ $\sim$ 1.5% gross per completed pair. When the sell fills, the buy is re-armed. Repeat indefinitely.

- **If price leaves the range**, the grid pauses itself, cancels its orders, alerts you, and optionally sells its inventory ("flatten on stop"). It stays paused until you re-save the strategy — re-saving rebuilds the ladder around the new price.
- **Wins in** sideways churn — the strategy most at home on a boring chart. **Loses by** a strong one-way drop: it accumulates lots on the way down that can't sell a level up. The range stop and per-asset exposure cap bound that damage.

4.4 DCA — "accumulate on a schedule, a bit more on dips"

Belief: for an asset you want to hold long-term, buying a fixed amount on a schedule beats guessing the moment. Not really "trading" — accumulation.

- Buys a fixed amount (15 USDT default) hourly, daily (08:00 UTC default) or weekly. If the pair is down more than 5% over 24h, the buy is multiplied $\times 1.5$ ("buy the dip").
- **Note:** when you first enable DCA (or the bot starts after downtime), any schedule slot already passed today triggers immediately — that is why you saw instant BTC/BNB/SOL buys the moment you enabled it.
- **By default DCA positions carry no stop-loss** — a stop would sell the dips you are deliberately buying. This is an explicit, visible exemption on the Risk page; DCA inventory still counts fully toward exposure caps, daily-loss and the kill switch. It has no exit signal either: you sell manually (or via emergency flatten) when you choose.

5 • The momentum scanner

Not a strategy — a **pair picker**. Every 15 minutes it ranks all USDT pairs by 24-hour price change, drops leveraged tokens (UP/DOWN/BULL/BEAR) and stablecoins, applies a liquidity floor (10M USDT daily volume by default), and keeps the top 5. Strategies with "Also trade momentum-scanner picks" enabled add those pairs to their own list automatically.

Honest framing. The scanner finds *movement*, not profit. Yesterday's top gainer is exactly as capable of dumping as pumping — high movers are high-volatility in both directions. Every scanner trade passes the identical risk gate. Also: on the **testnet** the volume numbers are simulated, so scanner picks there (you currently have TUT, BMT, COOKIE, MUBARAK, IOTX) are useful for testing the plumbing, not as real opportunities.

6 • What happens when you enable ALL strategies at once

They run **concurrently and independently** — there is no committee. Each (strategy, pair) combination holds its own position with its own entry, protection and exit. What ties them together is the **shared risk budget**:

- **Max open positions** (default 4) counts distinct strategy+pair combinations, all strategies together. A grid ladder counts once per pair no matter how many lots it holds. With all four strategies on, this cap binds *fast*: your DCA alone opened BTC+BNB+SOL = 3 slots within a minute of enabling. Later signals

then get rejected with "max open positions reached" — that is the design working, not a bug. **If you intend to run everything at once, raise it to ~8 on the Risk page.**

- **Per-asset cap** (default 25% of equity): trend, grid and DCA can all hold BTC simultaneously — their combined BTC value plus any resting BTC buy orders must stay under the cap. First come, first served; latecomers are rejected with the exact headroom in the reason.
- **Total exposure cap** (default 80%) keeps some equity always in USDT.
- **The circuit breakers are global.** Daily loss and drawdown are measured on the whole account — if grid losses trip the daily halt, trend's entries stop too. One shared account, one shared safety net.

Should you enable everything? More strategies = more simultaneous risk-taking, not more profit. There is one real benefit: the strategies thrive in different regimes (trend in directional markets, grid/mean-reversion in sideways ones), so together they smooth the equity curve somewhat. But BTC, ETH, SOL and BNB move largely together — four "diversified" crypto positions still behave like one big one in a crash, which is precisely what the drawdown kill switch is for. On testnet: enable everything, watch, learn. Live: start with ONE strategy on ONE pair, then add pieces one at a time (chapter 10).

7 • The risk engine — every limit explained

All numbers below are the defaults; every one is editable on the Risk page and applies from the next decision onward. Examples assume 10,000 USDT equity.

Limit	What it does	Example / when it fires
Position size — 2%	Each new position's notional = 2% of current equity (× the adaptive multiplier).	200 USDT per entry; shrinks automatically as equity falls.
Stop-loss — 2% · Take-profit — 4%	Placed on Binance as an OCO the moment an entry fills. 2:1 reward:risk by default.	Entry 100 → SL 98, TP 104, live on the exchange.
Trailing stop (off by default)	Once profit exceeds the activation %, the SL follows the highest price at a fixed distance — up only, never down.	1.5% trail: price runs 100→110, SL rides up to 108.35.
Max daily loss — 3%	If equity drops 3% below its value at UTC midnight, status becomes DAILY_HALT : no new entries until the next UTC day. Exits and protections stay active.	Day started at 10,000; equity touches 9,700 → halted, auto-resumes at midnight UTC.
Drawdown kill switch — 10%	If equity falls 10% below its all-time peak, status becomes KILLED : entry orders canceled, optional flatten, and the bot refuses to trade — surviving restarts — until you manually reset it on the Risk page (which re-anchors the peak).	Peak 11,000; equity hits 9,900 → killed. The point: force a human review before more money is at risk.
Max open positions — 4	Distinct strategy+pair combinations, globally.	See chapter 6.
Per-asset — 25% · Total — 80%	Caps on how much equity can sit in one coin / in all positions combined. Resting buy orders count too.	2,400 USDT already in BTC + a 200 order → rejected at the 2,500 cap.
Exchange minimums	Quantities are rounded DOWN to Binance's lot rules; orders under the ~5 USDT minimum are rejected with a clear reason rather than resized up.	Tiny equity × small % → "below exchange minimums — increase position size % or equity".
Emergency stop	The red button: cancels every open order immediately (including protective OCOs), optionally market-closes all positions ("flatten"). Works in any state; in LIVE mode requires typing STOP .	Without flatten, positions stay open <i>unprotected</i> until you restart the bot — the confirm dialog warns you.

Status meanings: **RUNNING** trading normally · **PAUSED** exits managed, no new entries (your button) · **DAILY_HALT** same, auto-clears next UTC day · **STOPPED** engine idle, exchange-side OCOs still guard positions · **KILLED** drawdown breaker, manual reset required.

8 · The adaptive layer — reacting to wins and losses

Added at your request: the bot adjusts each strategy using that strategy's own last 20 closed trades. It is deliberately **anti-martingale** — losing streaks make it trade *smaller*, never bigger. ("Doubling down to win it back" is how accounts die; this system does the opposite.)

Rule (defaults)	Behavior
Every 3 consecutive losses	That strategy's position size is halved: $\times 0.5$ after 3, $\times 0.25$ after 6 (the floor). One win resets it to full size.
6 consecutive losses, or profit factor < 0.6 across the full 20-trade window	Probation: the strategy stops opening new positions entirely. Exits and protections continue. The card shows a red "probation" badge and the reason; you clear it by re-saving the strategy — a deliberate human acknowledgment.
4 consecutive wins (only if you enable the win boost)	Size $\times 1.25$, capped at 1.5. Off by default because upsizing adds risk.
Scope	Applies to signal strategies (trend, mean-reversion). Grid ladders and DCA schedules are exempt — shrinking a grid breaks its economics, and DCA is meant to buy through losses. Backtests apply the identical rules, so simulated and live behavior match.

EXAMPLE SEQUENCE (TREND STRATEGY)

Trades: $-4, -5, -4 \rightarrow$ next entry at half size (100 USDT instead of 200). Two more losses at half size ($-2, -2 \rightarrow$ still $\times 0.5$ (streak 5). A sixth loss $\rightarrow$ **probation**, entries blocked, alert sent. Total damage of the streak: ≈ -17 USDT instead of ≈ -26 unadapted, and a forced pause before an unhealthy strategy keeps bleeding. What this layer does is protect capital and force reviews — it cannot turn a strategy without edge into a profitable one. Only better entry/exit rules (validated by backtests) can do that.

9 • Backtesting — how to read the numbers

The Backtesting page replays a strategy over real historical market data (downloaded from Binance's public archive — always production data, even in testnet mode), with fees and slippage modeled, decisions executing on the *next* candle (no hindsight), and stops checked pessimistically (if both SL and TP could hit inside one candle, the loss is assumed). The same code runs live — so a backtest is a fair rehearsal, with caveats below.

Metric	Meaning	Rules of thumb
Total return %	Equity change over the period, net of fees.	Meaningless alone — always compare with the next row.
Buy & hold %	What doing nothing (buy at start, hold) returned.	A strategy that underperforms holding while adding effort and risk is not earning its keep. (Beating it in a falling market by losing less is a real win.)
Max drawdown %	Worst peak-to-trough equity dip — the pain you'd have had to sit through.	Would you honestly keep the bot on after that dip? If not, the config is too aggressive for you.
Win rate %	Share of trades that made money.	Misleading alone: 40% win rate is fine when winners are 2× losers (our default SL/TP shape).
Profit factor	Gross wins ÷ gross losses.	<1 loses money · 1.0–1.3 fragile · >1.5 decent · >2.5 suspicious (probably overfitted).
Sharpe ratio	Return per unit of volatility, annualized.	<0 bad · ~1 respectable · >2 rare/suspicious for a simple bot.
Trades / Fees paid	Sample size and cost drag.	<30 trades proves nothing. If fees rival net profit, the strategy trades too often for its edge.

The overfitting trap. If you tweak parameters until history looks great, you have memorized the past, not predicted the future. Honest workflow: tune on one period (say 2024), then validate untouched on another (2025) — only settings that hold up out-of-sample deserve real money. And run 22+ trades minimum before trusting any statistic.

10 • Going live with your real Binance account

What changes: real money; real order books (your fills affect price slightly; slippage is real); real fees (0.1% per side — see below); real symbol availability (everything trades, unlike testnet); withdrawals, deposits and taxes become real-world concerns. **What does not change:** the code path — same strategies, same risk engine, same protections. Testnet is a full dress rehearsal of the machinery.

Fees change the math — read this twice

Binance spot charges ~0.1% per side (less with BNB fee discount enabled). A round trip costs ~0.2%, plus ~0.05–0.1% slippage on market orders. Consequences: a 0.5% take-profit target loses nearly half its edge to costs; strategies that trade very frequently need proportionally bigger edges; and the backtester's fee/slippage fields (10 bps / 5 bps) exist precisely so you can check a strategy survives its own costs before it runs live.

The switch itself

1. Create live API keys — **from a clean, trusted device** — at Binance → API Management: **Enable Reading + Spot Trading; leave Withdrawals OFF** (the bot never needs them; a leaked key then cannot drain funds out); **restrict to your bot machine's IP**.
2. Edit `.env` on the bot machine: set `TESTNET=false` and the live keys; restart. This is deliberately impossible from the dashboard — a stolen dashboard password must never be able to switch the bot onto real funds.
3. The dashboard now shows a permanent red **LIVE TRADING** banner, and the emergency stop requires typing `STOP`.

This specific computer. Per the 2026-08-06 security incident on this Mac (npm supply-chain wiper; attacker code ran under your user account), **do not create or store live API keys on it until it has been wiped and reinstalled**. Testnet keys are throwaway; live keys are money. If any real-account key has already touched this machine, revoke it in Binance's API Management now.

Go-live checklist (in order, no skipping)

1. Weeks on testnet with the strategies you intend to run; you have personally seen: a TP exit, an SL exit, a daily halt, the kill switch tripping (force it once with a tight limit) and staying tripped through a restart, an emergency stop, and a network drop with clean recovery.
2. Backtests over multiple market regimes beat or justify themselves against buy-and-hold, *after fees*, out-of-sample.
3. Alerting (Telegram) configured and tested — stop-losses and kill switches must reach your pocket.
4. Clean machine · restricted keys · IP whitelist (steps above).
5. Risk limits set to what you can genuinely tolerate losing; kill switch ON.
6. Fund with a small amount you can afford to lose entirely (e.g. \$100–200). ONE strategy, ONE pair, one week minimum.
7. Review the Trades page and risk events; scale one variable at a time: capital → pairs → strategies.
8. Trading profits/losses may be taxable in your jurisdiction — keep the CSV exports.

11 · Dashboard reference & "why isn't it trading?"

Page	What you do there
Overview	Equity & PnL tiles, live equity curve, candlestick chart with EMA/Bollinger overlays and your positions' SL/TP lines, open positions, live activity feed.
Trades	Every completed round-trip with entry/exit prices, fees, net PnL and both written rationales. Filter, paginate, export CSV.
Strategies	Enable/disable (the checkbox by the title!), edit parameters and pairs, scanner opt-in, adaptive stats line, probation badge, recent evaluations (the "why am I holding" log).
Backtesting	Run simulations, compare up to three equity curves, inspect per-trade reasons.
Risk	Every limit and switch, live proximity meters, risk event log, kill-switch reset, emergency stop.
Settings	API keys (write-only), Telegram/webhook alerts, engine flags, dashboard username/password. Environment badge is read-only here by design.

"Why isn't it trading?" — the usual answers, in order

1. No strategy is enabled (the #1 answer — the Enabled checkbox sits next to the strategy's name, separate from Save).
2. The bot isn't RUNNING (topbar pill: stopped/paused/halted/killed — each says why).
3. It IS working, and correctly holding: open the strategy's evaluations — you'll see HOLDS with reasons like "no crossover" or "inside bands, no setup". Good strategies are mostly flat; forcing constant action is how fees eat accounts.
4. The risk engine is rejecting entries — Overview feed / signal log shows exactly which limit (position cap and per-asset cap are the usual suspects with many strategies on; raise them deliberately if that's your intent).
5. A strategy is on adaptive probation (red badge) — re-save it after reviewing its trades.
6. Grid paused out-of-range (yellow note on the card) — re-save to rebuild the ladder around the current price.

12 · What is stored where (privacy & security model)

- Everything lives locally: SQLite file + log files under `backend/data/`. No cloud, no telemetry.
- Outbound connections: Binance API/streams only — plus Telegram/webhook if you configure alerts.
- API keys: entered write-only (never displayed again, never logged — a fingerprint like `Ab3d...9xYz` at most); stored in the local DB/.env. The dashboard password is stored only as a salted PBKDF2 hash; sessions are bearer tokens (browser holds them; server stores only their SHA-256).
- The dashboard binds to localhost by default. If you ever expose it on a network, everything sits behind the login — but prefer a VPN/SSH tunnel over opening ports.

13 · Full glossary of every abbreviation

API / API key

Application Programming Interface — the doorway programs use to talk to Binance. The *key* (public ID) + *secret* (password) pair signs every request. Anyone with both can trade as you: guard the secret, disable withdrawals, whitelist your IP.

Base / Quote asset

In BTCUSDT: BTC = base (what you buy/sell), USDT = quote (what you pay with).

BB — Bollinger Bands

A 20-candle moving average (middle band) with an envelope ± 2 standard deviations around it. Price near/below the lower band = unusually cheap vs recent history; the width shows volatility.

bps — basis points

Hundredths of a percent. 10 bps = 0.10%. Used for fees and slippage.

DCA — Dollar-Cost Averaging

Buying a fixed money amount on a schedule regardless of price, averaging in over time.

DD / Max DD — (Maximum) Drawdown

How far equity has fallen from its highest point, in %. Max DD = the worst such fall in a period. The kill switch is a drawdown limit.

EMA / SMA — Exponential / Simple Moving Average

The average closing price of the last N candles; the EMA weights recent candles more so it reacts faster. "EMA 20 crossing above EMA 50" = short-term average overtaking long-term = trend turning up.

GTC — Good-Til-Canceled

A limit order that rests on the book until it fills or you cancel it (grid orders, OCO legs).

HMAC-SHA256

The cryptographic signature scheme Binance keys use — how Binance verifies a request really came from your secret without the secret ever traveling.

Kline / candle · OHLCV

One time-slot of price data: Open, High, Low, Close, Volume.

Limit / Market order

Limit: "buy/sell only at this price or better" — rests on the book, no slippage, may never fill. Market: "fill me now at the best available" — instant, pays the spread/slippage.

LOT_SIZE / step / tick / min notional

Binance's per-pair rounding rules: quantity must be a multiple of the step, price a multiple of the tick, and the order worth at least ~5 USDT. The bot rounds quantities DOWN and rejects sub-minimum orders.

MACD

Moving Average Convergence/Divergence: EMA12 – EMA26, plus a 9-period signal line. The *histogram* (their gap) above zero = upward momentum building; below = fading. Used as confirmation in the trend strategy.

Maker / Taker

Maker = your resting limit order adds liquidity (cheaper fee). Taker = your market order consumes it (0.1% standard).

Notional

Order value in quote currency: quantity × price.

OCO — One-Cancels-the-Other

TP limit + SL stop placed as a pair; one filling cancels the other. This bot's standard exchange-side protection.

PF — Profit Factor

Gross profits ÷ gross losses across trades. Above 1 = net profitable.

PnL / uPnL / rPnL

Profit and Loss / unrealized (open positions, on paper) / realized (closed, locked in). Shown net of fees.

Probation

This bot's adaptive pause: a strategy blocked from new entries after sustained losing, until you re-save it.

RSI — Relative Strength Index

0–100 momentum gauge of recent gains vs losses. Convention: <30 oversold (stretched down), >70 overbought. 14-candle period standard (Wilder's method).

Sharpe ratio

Average return divided by its volatility (annualized) — reward per unit of bumpiness. Higher = smoother earning.

SL / TP — Stop-Loss / Take-Profit

Automatic exit orders below/above entry. See chapter 1.

Slippage

The gap between the price you expected and the price a market order actually filled at.

Spot

Trading actual coins with money you have — no borrowing, no leverage, no shorting. What this bot does, exclusively.

Testnet

Binance's fake-money practice environment. Separate keys, simulated balances, occasional resets.

TF — Timeframe

Candle duration a strategy works on: 1m, 5m, 15m, 1h, 4h, 1d.

USDT

Tether — a "stablecoin" pegged ≈ 1 US dollar; this bot's cash currency.

UTC

Coordinated Universal Time — the bot's clock for "daily" everything (loss limits reset at 00:00 UTC).

Watermark (high-water mark)

The highest price seen since entering a position — what the trailing stop trails behind.

WS — WebSocket

A persistent live connection. The bot keeps two to Binance (prices in, fill reports in) and one to your browser (the live dashboard).

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